



CENTRAL BANK OF BAHRAIN

Appendix-D

Recovery Plan Indicators

Appendix D

List of minimum categories of recovery plan indicators and illustrative list of recovery plan indicators

List of minimum categories and non-exhaustive list of recovery plan indicators	
1. Liquidity risk indicators	
a)	Deposits at banks / daily redeemed amount (five rolling day average)
b)	Deposits at banks + repurchase agreements that can be terminated by one working day notice + highly liquid financial instruments / highest daily redeemed amount over the last three months
c)	Deposits at banks + repurchase agreements that can be terminated by seven working day notice + highly liquid financial instruments / sum of the seven highest daily redeemed amounts over the last twelve months
d)	Deposits at banks + repurchase agreements that can be terminated by one working day notice + highly liquid financial instruments / sum of highest daily redeemed amount over the last three months to the ten largest stablecoin holders
e)	Daily net flow, i.e. stablecoin issued – stablecoin redeemed (seven rolling day average)
2. Operational risk indicators	
a)	Any incident significantly disrupting the regular operation of the stablecoin issuer's services or its business continuity (e.g. prolonged outage affecting IT systems or stablecoin delivery systems; infrastructure failures, including dysfunctions of the Distributed Ledger Technology; risks stemming from interoperability of different infrastructures, e.g. via bridges), also where caused by a third-party service provider.
b)	Recovery Time Objective (i.e. the maximum acceptable time to recover from a product or system failure)
c)	Maximum time since resignation or prolonged absence of key personnel
d)	Breach or expected breach of any regulatory requirement
e)	Legal risk
3. Credit risk/asset-quality indicators	
a)	Highly liquid financial assets with impairment indicators (e.g. indicators of impairment to credit quality as laid down in IFRS 9) / reserve assets
b)	Negative change in the credit rating of key counterparties (e.g. banks holding deposit)
4. Reference asset(s) related indicators	
a)	De-pegging risk, to be measured as the ratio between the market value of the token and the market value of the referenced asset(s)
b)	Regulatory changes negatively affecting the reference asset(s)
c)	Freeze or significant negative change in the liquidity of the market where the referenced asset(s) is (are) exchanged
5. Capital adequacy indicators	
a)	Own funds indicator
Additional minimum categories for issuers of significant stablecoins and for other issuers that do not provide appropriate justification for the non-inclusion to the CBB	
6. Market risk indicators	
a)	Ratio 'Daily change of reserve assets' fair value / 5 days rolling day average
b)	Sensitivity to interest rate changes of the reserve assets
c)	Ratio 'Value At Risk of the reserve assets / issuer's own funds'

7. Concentration risk indicators
a) Ratio 'Value of <u>stablecoins</u> held by five largest counterparties / total value of stablecoin issued' b) Ratio '(Deposit at single banking group + securities issued by a single counterparty) / maximum concentration limit c) Concentration ratio of deposits held in banks / maximum concentration ratio for deposits
8. Market confidence indicators
a) Negative news or media coverage including coverage in social media and blogging platforms, for the <u>stablecoin issuer</u> or the <u>stablecoin</u> issued b) Negative news or media coverage including coverage in social media and blogging platforms, for key counterparties (e.g. provider of custodial services; banks holding a material amount of deposits) c) Breach or expected breach of recovery plan indicators relative to any other stablecoin issued d) Material changes in the frequency or amount of payments executed by using the stablecoin as well as in the way stablecoins are used as a means of payment e) Impairment to the reputation of the stablecoin issuer or of approved persons of the stablecoin issuer f) Sudden increase in redemption requests g) Sudden decrease of stablecoin issuance